Allen Spence
Punta Gorda, FL
[redacted]

Vanessa A. Countryman
Secretary
U.S. Securities and Exchange Commission
100 F Street, N.E.
Washington, D.C. 20549

As a candidate for the U.S. House in Florida's 17th Congressional District and an employee of a U.S. broker-dealer, I submit this public comment. The opinions expressed here are mine alone and do not reflect the views of my employer.

Public Comment on Reg NMS 611 – A Win for Investors and Broker-Dealers

To the Securities and Exchange Commission:

The recent statements from the SEC Chair regarding the perceived failures of Regulation NMS for investors and broker-dealers are, frankly, baffling and contradict the very real positive impacts this regulation has had on our markets. Regulation NMS, far from being a failure, has been a critical step forward in ensuring fair and efficient markets for all participants, particularly retail investors. The notion that it has not served investors or broker-dealers well, suggesting market distortion and "gamesmanship," overlooks the significant advancements in market quality, transparency, and investor protection that Reg NMS ushered in. In the past 15 years retail participation in the market has increased along with the percentage of households who hold stocks and ETFs. Regulation NMS, particularly Rule 611, has been a resounding success for retail investors and the market as a whole, fostering a transparent and efficient trading environment. Rather than dismantling this proven framework, the SEC must reaffirm the vital protections of Rule 611 and turn its attention to modernizing market operations and addressing products and practices that genuinely harm retail investors.

The most important part of Reg NMS is Rule 611, the Order Protection Rule, which establishes fundamental customer order protection by requiring trading centers to prevent the execution of trades at prices inferior to protected quotations displayed by other trading centers. Over the past 20 years, I have spent a significant portion of my career reviewing time and sales data on retail trades, and the evidence is clear, Rule 611 works. Retail investors are not being taken advantage of by Reg NMS 611, they are benefiting from the current market structure with greater price improvement and lower transaction costs. Often called the "trade-through rule," it provides simple, understandable, and essential protections for retail investors while bolstering confidence in the fairness of our markets. While some market mechanisms are complex, the purpose of Rule 611 is not, its role in protecting against trade-throughs and enforcing best-price execution is straightforward and indispensable. For retail investors, the assurance that their orders are protected and cannot be traded through (with limited exceptions) is both simple and critically important.

Critics of Rule 611 often misunderstand the importance of its carefully designed exceptions, such as those for intermarket sweep orders (ISOs). ISOs are frequently used to enable the execution of negotiated block trades. This is particularly important for negotiated ETF block trades involving Authorized Participants. The ability to trade through protected quotes is not a flaw; it is a critical feature that allows these large block trades to be executed and printed on the tape. These trades are priced based on the ETF's Net Asset Value (NAV) and underlying assets, not the public NBBO, which ensures the integrity of the ETF creation and redemption process. This is not a loophole; it is a critical feature that allows ETF markets to function effectively. The growth of the ETF industry is a testament to this: in 2005, U.S.-listed fixed-income ETFs had just $15 billion in assets under management; by early 2025, that figure had grown to $2 trillion. Today, retail investors can access diverse fixed-income strategies with a single ETF order, a level of access and efficiency that would have been impossible without the framework established by Reg Rule 611. Any effort to weaken this rule threatens the market structure that has enabled this historic growth.

In stark contrast to the proven benefits of Reg NMS 611, the Commission's seeming permissiveness regarding the proliferation of highly leveraged single-stock and index ETFs to retail investors is deeply concerning. These products, often offering 2x or 3x daily leverage on the performance of a single company or index, serve virtually no economic utility for the vast majority of retail investors and expose retail investors to outsized risks, including compounding effects, volatility decay, and high costs. Many retail investors do not understand why such products fail to track expected performance over time, leading to avoidable and often severe losses. These products are so bad, that many broker-dealers have felt compelled to impose internal restrictions on these products which speaks volumes about their unsuitability for retail use. By allowing these inherently unsuitable products to be so readily accessible to retail investors, the Commission risks undermining the very trust and participation in our markets that regulations like NMS 611 have diligently worked to build. Leveraged single stocks and index ETFs are inherently unsuitable and should have never been allowed to be listed on US exchanges.

Instead of revisiting foundational rules like Reg NMS 611 that have demonstrably improved market quality, the Commission and regulators should focus their attention on more immediate and practical issues that cause genuine confusion . A prime example is the current operating hours of the Trade Reporting Facility (TRF). The fact that overnight trades only "hit the tape" at 8:00 AM ET each day creates significant information asymmetry. When a large volume of trades from the overnight session suddenly appear at 8:00am ET, it can make prices appear "out of range" to pre-market retail participants who are trying to gauge the market, leading to unnecessary questions, uncertainty, and potentially poor trading decisions. Prioritizing the TRF being open before 8:00 AM ET would provide greater transparency and a more level playing field for all investors. Modernizing outdated rules and systems should be the commission's top priority, not re-writing rules that have worked for over 20 years.

The Commission must take meaningful action to address the regulatory void surrounding stablecoins. Today, many investors hold a portion of their assets in U.S. dollar-backed stablecoins, yet broker-dealers are hamstrung by regulatory uncertainty. By establishing a clear framework for how broker-dealers can custody and segregate these assets, the SEC would solve critical questions regarding rules 15c3-3 and 15c3-1. This clarity would enable broker-dealers to integrate stablecoins into their operations, offering retail investors faster settlement and new payment options, all while maintaining the full protection of federal securities laws.

Regulation NMS Rule 611 is a success story for American investors and our capital markets. It has effectively delivered on its promise of price protection and execution quality, fostering an environment where a diverse ETF market could thrive. Rather than weakening this proven framework, the SEC has a clear opportunity to enhance market integrity and lead innovation. The Commission should focus its efforts on actionable, pro-investor reforms: modernizing TRF operating hours to increase transparency, providing a clear regulatory path for stablecoins to unlock new efficiencies, and acting decisively to curb the availability of unsuitable leveraged products. By focusing on these forward-looking priorities, the SEC can ensure the long-term health and preeminence of our financial system.

Respectfully submitted,
Allen Spence
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